

Malik, Divisional CEO of the foods business. He says the company invested well in advance in building its own factories and then figured out a way to use the capacity. "It was in some ways a reverse mindset." With that, it was able to look at multiple product categories, with the company's strong wheat value chain being the anchor. "Then, businesses like *atta*, biscuits and noodles started to look a lot more attractive and meaningful. Now, it is like a playbook," he explains. Much as the company was (and still is) dominant in the tobacco business, in FMCG, "we were still starting from zero".

The bulk of the FMCG play is from foods and not without reason. At the time of drawing up the business plan, the total FMCG business in India was ₹2.5 lakh crore, of which foods accounted for ₹1 lakh crore, or 40 per cent. Take the case of the biscuits industry, whose turnover was ₹8,000 crore and is now at ₹40,000 crore. Here, ITC's Sunfeast (the management wanted a brand name starting with "sun") decided to focus on cream biscuits, a segment that threw open many opportunities. The choco-fills foray has been a runaway success and as Malik explains, "it was a bridge product with the liquid inside a biscuit". Competition led by Britannia did follow but an array of flavours and the creation of the Dark Fantasy brand worked out well—so much so that adding it to the Sunfeast name on its bourbon biscuits (apart from some tinkering on price and grammage) helped the brand take off. "The whole idea of Dark Fantasy is to connote indulgence," he adds.

LOOKING FOR THE SLOTS

In the case of noodles, a market overwhelmingly dominated by Maggi, which has been around since 1983, consumer research threw up



'OUR AMBITION IS TO BE THE NO. 1 FMCG COMPANY IN INDIA'

ITC Chairman & Managing Director **Sanjiv Puri** decodes the company's M&A mantra and explains why its FMCG portfolio is crucial to the business

BY **SOURAV MAJUMDAR** and **KRISHNA GOPALAN**

FOR A COMPANY that entered the FMCG business at the turn of the century, ITC has had quite a run. With brands such as Sunfeast, Aashirvaad, Engage, Kitchens of India and Savlon, not only has it made a mark, it has also managed to create a business cutting across several categories. ITC has made full use of its agri backend, with a strategy that is a combination of organic and inorganic growth. This has helped it snap at the heels of competition, either by expanding an existing market or often creating a new one. In a freewheeling conversation at Virginia House, ITC's head office in Kolkata, Chairman & MD Sanjiv Puri, 60, outlines how the company has gone about this intensely competitive business and still managed to carve a unique positioning. Edited excerpts:

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Why is FMCG such a crucial business for ITC?

For an Indian consumer, it is important to consume Indian products and to have a home-grown FMCG company [and] we aim to offer the best quality of products. In the last five years, we have grown from revenues of ₹10,000 crore to ₹16,000 crore in FY22, while margins have expanded by 600 basis points. Our portfolio has over 25 mother brands and a consumer spend of ₹24,000 crore. The addressable market for us today for the categories that we operate in is to the tune of ₹5 lakh crore, which is amongst the highest in the Indian FMCG space. Our ambition is to be the No. 1 FMCG company in India and we realise it is a journey that will take time.

We have a lot of "firsts" to our credit. Among them are